

Approval Process

When you apply for a credit card or a department store card, they usually check your credit history with one credit report, especially if their card is a fast approval offer. They quickly approve or deny you, based on that one score.

For a mortgage, the mortgage broker or the lending bank usually gets your credit reports from all three credit reporting agencies. They do not take your best score, and they don't take an average. They grab the middle score. The lender can look at only two reports if they want, and you guessed it, they take the lower score. The lower your score, the better for them, and the better odds that they will be able to play Fee Bingo on your account.

Remember that your credit report is always changing. Your credit card companies turn in your payment information each month. Therefore, the credit report is a living document that needs your ongoing attention. Verifying it for accuracy needs to happen at least annually. More often than that is even better. I suggest a credit monitoring service.

One More Score

We will learn how to raise the credit score in the next chapter. There are several easy techniques! Before we tackle that topic, I need to explain that there is one more credit score that entered the marketplace, just in case you hear the name VantageScore.

The big three credit reporting agencies united together to use the same formula for a consistent score that they named the VantageScore. (Rumor has it they also didn't want to pay Fair Isaacs for every FICO score.) The FICO scores range from 300 to 850. The VantageScore system ranges from 501 to 990. Does that make any sense? No. In both systems, the higher your score, the better risk you are, and the better rate will come your way. VantageScore was made available in March 2006, but for the most part, mortgage lenders, credit card companies, and banks are still primarily using the FICO score. It may seem a bit confusing (because it is). If you are swimming in different scores, just make sure the one you pay attention to is the FICO score; that's still the one that carries the weight.